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SEARCH 1 - ENTREPRENEURIAL ACQUISITIONS AND SEARCH FUNDS

Introduction

Since the launch of the first search fund in 1983 in the US, over 1000 search funds have been launched. With historical pre-tax IRRs of over 30% and pre-tax returns on capital of over 3x, search funds have started to attract attention also outside the US.

Search funds are an important subset of entrepreneurs who acquire businesses with the purpose of running, improving, growing and ultimately selling them, hopefully at a handy profit for investors and the entrepreneur. What distinguishes search funds from other forms of Entrepreneurial Acquisitions (EA) or Entrepreneurship through Acquisition (EtA) is the standardized process whereby the entrepreneur raises a fund from investors (wealthy individuals and institutional funds) to finance his/her search. It is this supply of capital for the search (search capital) that gives the investors the optionality to supply capital for the purchase of the company (acquisition capital).

During this session you will get insights into the world of search funds but more importantly you will get valuable lessons for entrepreneurial acquisitions (acquisitions by entrepreneurial managers) such as sourcing, acquiring and growing a company.

Objectives

'Being an entrepreneur' for many a person means starting a business. This is however only one type of entrepreneur. It requires specific capabilities such as 'creating from scratch', a high tolerance for the unknown as well as the ability to convince non-believers or predict and create the future. EA and search funds are based on another form of entrepreneurship, namely the ability and passion to finesse, energize, scale, improve and further shape what is already in existence, as well as the desire to run one's own business. It indeed needs different skills to go from 0 to 10 than from 100 to 1,000.

During this course we will discuss the entire EA and search fund process, its challenging moments as well as its gratifying rewards. We will discuss some tricks-of-the-trade and some of the major pitfalls. The ultimate objective is for the participant to be able, or to be closer to be able to answer following questions:

- *Is this a career path for me?*
- *If so, is now the right moment to start or should I postpone this (till when)?*
- *I'm in, what do I do next?*
- *What are the major stepping-stones and what are the important black spots and drawbacks?*

Specifically, the participant will have a better understanding on what to do and who to approach during the fundraising process, how to start a sourcing process, what type of industries and companies to target and which ones to avoid, how the negotiation and acquisition process works and which early priorities to set upon acquisition.

Competences

Basic

CB7. The students know how to apply the knowledge acquired and their ability to solve problems in new or unfamiliar environments within broader (or multidisciplinary) contexts related to their area of study.

CB8. The students can integrate knowledge and face the complexity of formulating judgments based on information that, being incomplete or limited, includes reflections on social and ethical responsibilities linked to the application of their knowledge and judgments.

CB9. Students know how to communicate their conclusions and the knowledge and ultimate reasons that support them to specialized and non-specialized audiences in a clear and unambiguous way.

CB10. Students possess the learning skills that allow them to continue studying in a way that will be largely self-directed or autonomous.

General

CG5. Show entrepreneurial behavior, initiating and promoting the necessary changes with energy and personal responsibility.

CG6. Prioritize objectives, schedule activities appropriately, and execute them within the scheduled time.

CG7. Identify and deal effectively with information relevant to their work.

Specific

CE01. Apply a structured and rigorous process of analysis of business situations and decision making that incorporates the following phases: diagnosis of the problem, selection of criteria, identification of alternatives, weighted analysis, and identifying an alternative with its consequent action plan.

CE02. Prepare structured, synthetic, and clear executive reports for the analysis and decision-making of business situations.

CE03. Critically analyze and interpret the content of a company's balance sheet, income statement, and cash flow statement to diagnose problems and make decisions. Develop criteria to understand the limitations of financial information and its subjective nature.

CE04. Understand and apply judiciously quantitative tools to analyze and make decisions. Understand the assumptions implicit in the models and the limitations and risks of the models when putting them into practice.

CE06. Adopt an anthropological and sociological model based on academic studies that explain organizational behaviour and emphasize concepts of motivation, trust, authority, power, and commitment. Guide the model to analysis and action in the organization of work, management styles, and the creation of company cultures.

CE08. Acquire coaching skills to identify and develop talent in the members of an organization. Learn techniques to give and receive feedback, observe and measure skills, and facilitate their development through the design of work experiences.

CE09. Design or improve work relations and policies. Understand the evaluation and incentive systems, promotion, development, training, organizational culture, and the role of the different agents inside and outside the organization that affects work relations.

CE12. Assume the criteria and rules for the ethical analysis of decisions as their own. Know the traditional ethical thought systems and develop a critical spirit about their advantages and disadvantages. Develop the ethical sense in any decision-making in the organization. Understand the existing incentives around these decisions.

CE22. Estimate the operational needs of funds and choose the most appropriate financial products for their financing: credit policies, factoring, confirming, terms of collection and payment with customers and suppliers, etc.

CE23. Optimize capital structures to maximize the value of the company and develop a critical sense to relativize estimates and identify risk and sensitivity factors.

Content

The course touches upon each critical phase of the search fund journey.

First, we will discuss whether EA is a path you might want to consider (and how to go about it). We will continue with discussing how to manage a successful fundraising. Next on the agenda

is the discussion on sourcing (process and execution), followed by how to execute an acquisition.

Thereafter the focus shifts to managing and growing the acquired company, before discussing how and when to exit. We end the course touching upon some EA-topics from an investor's perspective.

Evaluation

This course is dynamic with strong participation from the participants. Therefore 40% of the grade will be based on class participation. The remaining 60% will be dependent on 2 assignments. Maximum 750 words/assignment. You can choose from any of these combos (no mixing).

- Combo #1: Sierra Capital, and SunWest Medical Devices
- Combo #2: Eyewitness Surveillance II and Graham Weaver
- Combo #3: Greg Mazur and Bonobos
- Combo #4: Baskits and Paul Thompson
- Combo #5: Workwell (B) and To sell or not to sell

Assignments must be put on Blackboard **before the start** of the relevant session.

I expect you to explain the core issues as well as how you would have tackled them.

Course Outline & Bibliography

TITLE OF SESSION & MATERIAL

1	Examining EA and Search Funds Case: Stanford, E-365 Models of Entrepreneurial Acquisition EA-SF: Chapter I. Life is Not a Rehearsal: The Decision (*)
2	Fundraising Case: Stanford, E-736 Calyx Capital Partners EA-SF: Chapter II. Money has Faces: Fundraising
3	What makes for a good acquisition target? Case: Stanford, E-358 Sierra Capital Partners EA-SF: Chapter IV. In Search of the Holy Grail: Sourcing II (*)
4	Negotiating the Acquisition Case: Stanford, E-362 Work Well (A) EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 126-144 (*)
5	Structuring the Acquisition Case: Stanford, E-362 Work Well (B)

	EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 145-158 (*)
6	Due Diligence Case: Stanford, E-724 Eyewitness Surveillance II EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 158-180 (*)
7	Investing in Acquisition Entrepreneurs Case: Stanford, E-567 Coley Andrews
8	Guest speakers: Searchers
9	Valuation Case: HBS 9-211-085 Greg Mazur and the Purchase of Great Eastern Premium Pet Foods EA-SF: Chapter VI. Doing the Deal: The Acquisition Process II, 181-197 (*)
10	Running the company (I) Day One as CEO Case: Stanford, E-362 WorkWell (C) EA-SF: Chapter VII. Surviving Year One: Management I, 210-239 (*)
11	Running the company (II) The first year Case: Stanford, E-634 California Medical Transport EA-SF: Chapter VII. Surviving Year One: Management I, 240-247 (*)
12	Guest speakers: CEOs
13	Running the company (III) The first three years Case: HBS, 9-217-001 Baskits Inc EA-SF: Chapter VIII. The Groundwork of the Early Years, Management II (*)
14	Running the company (IV) Beyond year three Case: Stanford, E-107 SunWest Medical Services EA-SF: Chapter IX. The Seasoned Operator: Management III (*)
15	Running the company (V) Difficult conversations Case: Stanford, E-514 Bonobos, Inc. EA-SF: Chapter IX. The Seasoned Operator: Management III (*)
16	Running the company (VI) Managing through a crisis Case: HBS 9-818-057 Paul Thompson: Walker Insurance Note: IESE EN 34-E Letter to a Young Operator on Managing During a Crisis (*)
17	Exiting the Company

	Case: IESE, To Sell or Not to Sell EA-SF: Chapter XI. Letting Go: The Exit (*)
18	Guest speakers: Investors
19	Running Portfolio Companies Case: Stanford, E-110 Graham Weaver EA-SF: Chapter X. Boards and Corporate Governance: Management IV (*)
20	Wrap Up Session

(*) Recommended reading: EA-SF: Simon, J., 'Entrepreneurial Acquisitions and Search Funds, The Roadmap for Buying a Business and Leading it to the Next Level', TellWell, 2021, ISBN 978-0-2288-6403-5.

Session Preparation

INTRO

1. Examining EA and Search Funds

Reading:

Case: Stanford, E-365 Models of Entrepreneurial Acquisition
EA-SF: Chapter I. Life is Not a Rehearsal: The Decision

Questions:

- What are the pros and cons of each EA alternative?
- Which of the three alternatives do you think is best for Pat? Explain.

FUNDRAISING

2. Fundraising

Reading:

Case: Stanford E-736 Calyx Capital Partners
EA-SF: Chapter II. Money has Faces: Fundraising

Questions:

- Comment on the team's fundraising process. What did you like, what would you do differently?
- What advice would you give them in their decisions/questions concerning their final CapTable/Syndicate?

SEARCHING

3. What makes for a good acquisition target?

Reading:

Case: Stanford E-358 Sierra Capital Partners
EA-SF: Chapter IV. In Search of the Holy Grail: Sourcing II

Questions:

- Which opportunity would you pursue? Explain.
- How does your chosen opportunity fit or deviate from your company and industry criteria? Why were you willing to compromise?

ACQUIRING

4. Negotiating the Acquisition

Reading:

Case: Stanford, E-362 WorkWell (A)
EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 126-144

Questions:

- Evaluate the searchers' management of early discussions with O'Connell. What do you think they did well? What, if any, suggestions do you have for improvement?
- How should the searchers respond to the questions and requests made by O'Connell and his accountant during their second meeting?

5. Structuring the Acquisition

Reading:

Case: Stanford, E-362 WorkWell (B)
EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 145-158

Questions:

- Do or don't you like the target? Explain.
- How would you value this company and with what terms? Be prepared to make an offer (price and structure) for this company or explain why you are walking away.

6. Due diligence

Reading:

Case: Stanford, E-724 Eyewitness surveillance II
EA-SF: Chapter V. Reconnaissance: The Acquisition Process I, 158-180

Questions:

- Discuss Rush and RT's due diligence process
- Discuss the red flags and suggest solutions for them
- How would you respond to the request from the seller?
- Where do you go from here?

7. Investing in Acquisition Entrepreneurs

Reading:

Case: Stanford E-567 Coley Andrews

Questions:

- Was it reasonable for Andrews and his partner to reverse their investment decision on Larkin Ventures? Any side effects?
- Develop Andrews' talking points in preparation of Larkin Ventures' investors.
- As Andrews, prepare your talking points for your meeting with Lowe. Would this include Oster?

Note: Be ready to role-play

8. Guest speakers: Searchers

9. Valuation

Reading:

Case: HBS 9-211-085 Greg Mazur and the Purchase of Great Eastern Premium Pet Foods

EA-SF: Chapter VI. Doing the Deal: The Acquisition Process II, 181-197

Questions:

- Discuss the industry and the company's fit within the context of an entrepreneurial acquisition.
- Would you pay \$1.2M for this business (look at the financial model)? Explain.
- Discuss Mazur's due diligence

MANAGING

10. Running the company (I) Day one as CEO

Reading:

Case: Stanford, E-362 WorkWell (C)

EA-SF: Chapter VII. Surviving Year One: Management I, 210-239

Questions:

- What should Frazer and Kelsie do ahead of Day one?
- What is their Day One Priorities?

Note: Be ready to role-play

11. Running the company (II) The first year

Reading:

Case: Stanford, E-634 California Medical Transport

EA-SF: Chapter VII. Surviving Year One: Management I, 240-247

Questions:

- As an investor, what advice would you give Tyler for year one?
- As Tyler Coats, how would you prioritize your first year?

12. Guest speakers: CEOs

13. Running the company (III) The first three years

Reading:

Case: HBS, 9-217-001 Baskits Inc

EA-SF: Chapter VIII. The Groundwork of the Early Years, Management II

Questions:

- Discuss the key factors that influence the long-term success of Baskits? What needs to be accomplished?
- How does this compare to the things required for short-term success?
- Do you agree with Kovitz's decision to re-configure the business's facility to a single year-round location from a smaller year-round facility plus a three-month season location? Explain.
- What is your view on Kovitz's decision reintroducing an IT system? Explain.

14. Running the company (IV) Beyond year three

Reading:

Case: Stanford, E-107 SunWest Medical Services

EA-SF: Chapter IX. The Seasoned Operator: Management III

Questions:

- Evaluate Landry's and Brooke's actions in managing the company in each of the following stages:
 - o After buying but before the audit
 - o The financial work out
 - o The growth phase
- What were the factors leading to success?

- What critical actions should Landry take for continued success?

15. Running the company (V) Difficult conversations

Reading:

Case: Stanford, E-514 Bonobos, Inc.

EA-SF: Chapter IX. The Seasoned Operator: Management III

Questions:

- Given Dunn's objectives in initiating the conversation with Greene, how should he respond to Greene's comment about the susceptibility of engineers to burnout and the futility of asking them to work harder? Should he tell Greene that continued underperformance will inevitably have consequences? Prepare to role play.
- Since Dunn has concluded that he needs to shut down the Silicon Valley office and relocate the engineering function to New York, how should he proceed with the board regarding this decision? Prepare to role play.
- You are Andy Dunn. What do you do after you find out about what Long said at the meeting he called with the engineering team? Prepare to role play.

16. Running the company (VI) Managing through a crisis

Reading:

Case: HBS 9-818-057 Paul Thompson: Walker Insurance

Note: IESE EN 34-E Letter to a Young Operator on Managing During a Crisis

Questions:

- How well has Thomson done so far in turning Walker Insurance around?
- What are the risks Thomson is facing? Explain.
- What should Thomson do? Explain.

EXITING

17. Exiting the Company

Reading:

IESE: To Sell or Not to Sell

EA-SF: Chapter XI. Letting Go: The Exit

Questions:

- Make a plan for a board presentation on the subject? Reflect the different stakeholders.

INVESTING

18. Guest Speakers: Investors

19. Running Portfolio Companies

Reading:

Case: Stanford, E-110 Graham Weaver

EA-SF: Chapter X. Boards and Corporate Governance: Management IV

Questions:

- Explain if following issues are management and/or board issues and what you suggest Graham should do:
 - Sexual harassment case @ Verdant Labels
 - Personnel issues @ Alpha Labels
 - CEO recruitment decision @ Midway

20. Wrap Up Session

Sustainable Development Goals (SDG)

SDG 8 – Decent Work and Economic Growth

SDG 9 – Industry Innovation and Infrastructure

SDG 10 – Reduced Inequalities

Bibliography

Mandatory: Cases

Recommended:

Book: Simon, J., 'Entrepreneurial Acquisitions and Search Funds, The Roadmap for Buying a Business and Leading it to the Next Level', TellWell, 2021, ISBN 978-0-2288-6403-5.

Professor's Biography



Prof. Jan Simon

Professor of the Practice of Management of Entrepreneurship

Jan Simon is Professor of the Practice of Management in Entrepreneurship at IESE and the Academic Director of its International Search Fund Center.

Jan worked over two decades in the investment industry. He co-headed the Emerging Markets Trading Desk at Salomon Brothers, set up the Continental Sales-Trading Desk at Goldman Sachs, and was a member of Merrill Lynch's Hedge Fund Advisory Group. He has been a Special Advisor to Pacific Lake Partners and is the Managing Partner of Vonzeo Capital, a global institutional investor in search funds.

His expertise is in the areas of investment strategies, mergers and acquisitions, and entrepreneurial acquisitions. He has managed money in equities, fixed income, search funds, and advised hedge funds in a variety of strategies. His research has been published in academic journals such as the Journal of Network Theory in Finance and the British Journal of Management.

Jan holds an LL.B. and LL.M. from the Katholieke Universiteit Leuven, an MBA from IESE Business School, earned his Ph.D. in Finance from the University of Essex, holds the ICD.D Designation for Corporate Directors from the Rotman School of Management, and earned his AMP at Harvard Business School.

He served the 1st Battalion of Parachutists and Commandos -Special Operations Regiment-, as well as NATO's Special Intervention Forces -ACE Mobile Force-. He holds both the green and red beret.